

|  |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|--|--|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|  |  | <p>Regarding the justifiable reliance argument, Plaintiff did not plead that Mr. Lad and Mr. Desai had unfettered access to the business during the inspection period. Rather, Plaintiff alleged that its representatives were only allowed to come at the end of each business day after obtaining prior approval from Mr. Perkins, and that Mr. Perkins would collect from the machines and hid the compartment from Plaintiff. There is no indication in the complaint that Plaintiff's representatives had unfettered access to the machines prior to closing. The court finds that Plaintiff alleged justifiable reliance. (See Compl., ¶ 26).</p> <p>With regards to Plaintiff's concealment cause of action, Plaintiff also alleged that Mr. Perkins concealed the hidden compartment and the additional expense, and that both Mr. Perkins and Ms. Perkins concealed the accurate expenses and financial performance. (Compl., ¶ 38).</p> <p>Finally, with regards to fraudulent inducement, Plaintiff also alleged that Defendants made various representations regarding the Business's financial performance, condition, and other material information that Plaintiff relied on when agreeing to purchase the Business for \$665,000.00, and that Defendants concealed the hidden compartment and its expense when making these representations. (Compl., ¶ 42).</p> <p>Accordingly, the court overrules the demurrer as to these causes of action.</p> <p><u>Breach of contract</u></p> <p>In order to state a cause of action for breach of contract, a Plaintiff must plead as follows: (1) the existence of the contract, (2) plaintiffs' performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff. (<i>Oasis West Realty, LLC v. Goldman</i> (2011) 51 Cal.4th 811, 821).</p> <p>Plaintiff has plead the existence of a contract with Senoa. (Compl., ¶ 33, Ex. A). The contract, which is titled a "Purchase Agreement for the Sale of Sparkle Coin Laundry", provides:</p> <p>"Due Diligence. From the date of the execution hereof until twenty-one (21) business days thereafter ("Due Diligence Period"), the Seller will, and will cause the Seller to, provide Buyer or her representative reasonable access to the Premises to inspect the HVAC, plumbing/utilities, equipment, condition of the premise, books, and records. Buyer herein acknowledges they have already had access to the books and records of the Seller. Upon execution of this Agreement, Buyer shall provide Seller with a list of documents necessary for review, such as a copy of the current lease/rental agreement and utility bills (water, gas, electricity, etc.) documentation deemed necessary by Buyer. Due to the nature of a coin/cash business operation, Seller shall allow Buyer to witness coin/cash collection at various periods to understand the financial health of the Coin Laundry Business based upon Seller claims. Notwithstanding anything to the contrary contained herein, such access and inspections shall not materially interfere with the operations of the Seller. (Compl., Ex. A)."</p> |
|--|--|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

|  |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|--|--|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|  |  | <p>The agreement also provides that Defendants were obligated to provide a minimum of two weeks of training, totaling at least 14 hours. ("Seller agrees to provide training to Buyer over a two-week period following the Closing Date per Seller's schedule. At minimum, Seller shall train Buyer for 14 hours during the two weeks period." [Ex. A]).</p> <p>Plaintiff alleges that Defendants provided inaccurate or misleading financial information and by failing to disclose material facts regarding the Business's profit and loss, and also failed to comply with the training requirement. (Compl., ¶¶ 20, 34). Plaintiff alleges that it paid the earnest deposit, closed the deal and assumed control of the business. (Compl., ¶¶ 16, 20, 22). Finally, Plaintiff alleges that it sustained damages from Defendants' breach. (Compl., ¶ 35).</p> <p>However, Plaintiff failed to allege that the individual Defendants were parties to the contract. The contract was only signed by Ms. Perkins "<u>on behalf of</u>" Senoa. Because the alter ego theory of liability is insufficiently plead, and Plaintiff has not alleged a contract with the individual Defendants, the court overrules the demurrer as to Senoa and sustains the demurrer as to the individual Defendants.</p> <p><u>Breach of implied covenant of good faith and fair dealing</u></p> <p>The implied covenant of good faith and fair dealing rests upon the existence of some specific contractual obligation. (See <i>Racine &amp; Laramie, Ltd. v. Department of Parks &amp; Recreation</i> (1992) 11 Cal.App.4th 1026, 1031). "[A]llegations which assert such a claim must show that the conduct of the defendant, whether or not it also constitutes a breach of a consensual contract term, demonstrates a failure or refusal to discharge contractual responsibilities, prompted not by an honest mistake, bad judgment or negligence but rather by a conscious and deliberate act, which unfairly frustrates the agreed common purposes and disappoints the reasonable expectations of the other party thereby depriving that party of the benefits of the agreement." (<i>Careau &amp; Co. v. Security Pacific Business Credit</i> (1990) 222 Cal.App.3d 1371, 1395). Furthermore, if allegations of breach of the covenant of good faith "do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated." (<i>Id.</i> at p. 1395.)</p> <p>Defendants contend that this cause of action fails because it relies on the same facts and the same harm as the breach of contract cause of action. However, Plaintiff has adequately plead actions by Defendants that go beyond just breaching the terms of the contract. Plaintiff adequately plead fraudulent misrepresentation, concealment, and inducement in connection to the misrepresented revenue and concealed expenses.</p> <p>Therefore, the court overrules the demurrer as to Senoa.</p> <p>However, a plaintiff cannot have a bad faith claim without a claim for breach of contract. (See <i>Racine &amp; Laramie, supra</i>, 11 Cal.App.4th at 1032 ["There is no obligation to deal fairly or in good faith absent an</p> |
|--|--|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|